



Mgt401 Final term Short notes by Ac 03222254114

Short Term Investment in Instruments

a) Equity Instruments

b) Debt Instruments

Measurement of Investment in Equity Instruments

a) Initial measurement at fair value

b) Subsequent measurement at fair value through profit or loss

It's a simple concept

- Increase in fair value causes a gain (SOPL – Cr.)
- Decrease in fair value causes a loss (SOPL – Dr.)

Dividend Income

Dividend received during the reporting period is recognized as income for the year.

Asset

- **Non-Current Assets**
 - Property Plant & Equipment
 - Investment Property
 - Intangible Assets
 - Long Term Investments
- **Current Assets**
 - Inventory
 - Trade Receivable
 - Cash Balances

Fixed Asset

- Property Plant & Equipment are the Fixed Tangible Asset.
- These are subject to Depreciation charge.

Accumulated Depreciation

- Also is known as Provision for Depreciation.

Measurement

- Initial measurement at Cost
- Subsequent measurement

- **Cost Model**

Carrying Amount of Fixed Asset is measure at each reporting period as below:

- Historical cost of asset
- Less accumulated depreciation
- Less accumulated impairment loss

- **Revaluation Model**

Fixed Assets are measured at:

- Fair Value
- Less accumulated depreciation (subsequent to revaluation)
- Less accumulated impairment loss (subsequent to revaluation)

Accounting for Revaluation of Fixed Assets

Step 1 – Calculate depreciation of the asset till the date of revaluation and transfer accumulated depreciation account to the asset account

Step 2 – Adjust the net carrying amount of the asset to its fair value that will result into a gain or loss on revaluation

Step 3 – Recognise; revaluation gain as a Reserve in Equity and; revaluation loss as an Expense in SOPL (if it is first time / initial revaluation)

Excess Depreciation

The depreciation charge had the asset not been revalued is subtracted from the depreciation of revalued asset to calculate excess depreciation that is transferred to retained profits, considering realised.

Treatment of Revaluation Surplus

Revaluation surplus of the same asset that has been disposed of is transferred to retained profits.

Accounting for Fixed Assets Depreciation – Important Points

- The depreciable amount is allocated on a systematic basis over the asset's useful life
- The residual value, the useful life and the depreciation method of an asset are reviewed annually at reporting date

- Changes in residual value, depreciation method and useful life are changes in estimates are accounted for prospectively in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors

- Depreciation is charged to profit or loss, unless it is included in the carrying amount of another asset

- Depreciation commences when the asset is available for use.

- Revenue based depreciation is prohibited.

- Depreciation method reflects the pattern in which future economic benefits are expected to be consumed.

Component accounting

- Significant parts or components are required to be depreciated separately over their estimated useful life.

- Costs of replacing components are required to be capitalized.

Disclosures include but are not limited to:

- Measurement bases for determining the gross carrying amount

- Depreciation methods

- Useful lives or the depreciation rates used

- Gross carrying amount and the accumulated depreciation at the beginning and end of reporting period

Reconciliation

A reconciliation of the carrying amount at the beginning and end of the period showing:

- Additions

- Assets classified as held for sale

- Other disposals

- Acquisitions through business combinations

- Changes resulting from revaluations

- Impairment losses recognized and reversed in profit or loss

- Depreciation

- Exchange differences

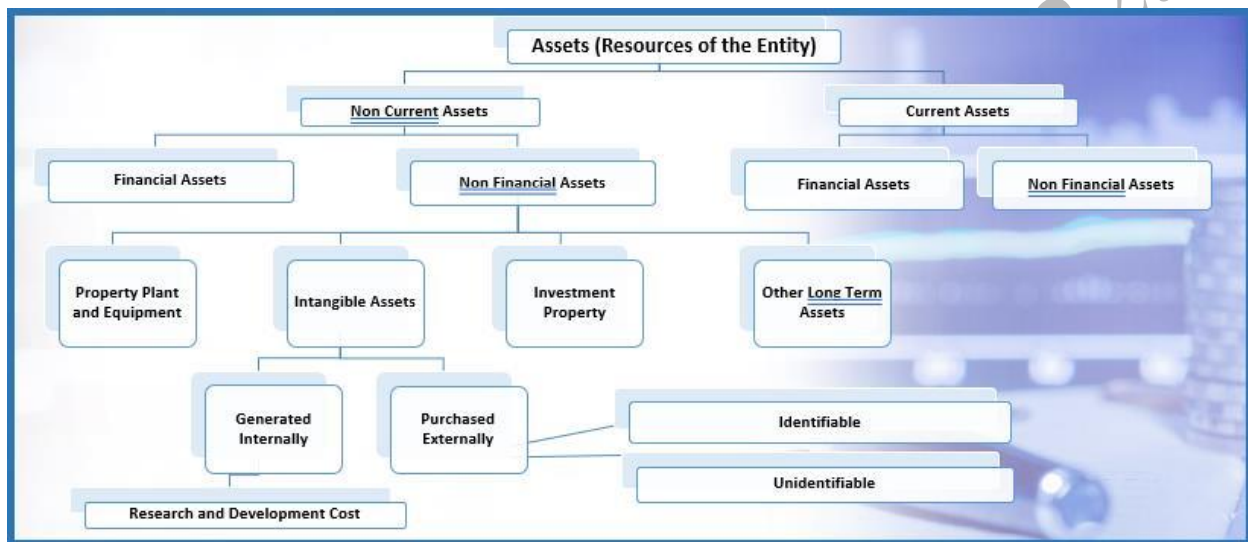
- Other changes.

Disclosures

- Significant accounting policies
- Working notes

Fixed Assets Accounting

IAS 16 – Property Plant and Equipment provides detailed guideline for Recognition, Measurement, Presentation and Disclosure of Tangible Fixed Assets.



Non-Financial Asset

Non-current non-financial assets are classified into two basic types:

1. Tangible and
2. Intangible

Intangible Asset

Identifiable non-monetary assets without physical substance

It is separable; means it can be sold, transferred, licensed, rented or exchanged, either individually or together with a related contract, asset or liability

Tangible assets have physical substance, while intangible assets either have no physical substance, or have a value that is not conveyed by what physical substance they do have.

Recognition

Identifiable intangible assets have much in common with tangible long-lived assets (fixed assets).

Recognition depends on whether the Framework definition of an asset is satisfied.

Recognition Criteria

1. Separately identifiable;
2. Controlled by the entity as a result of its past actions and events;
3. Flow of future economic benefits to the entity; and
4. Reliable measurement of cost.

Measurement at Cost

Cost of an intangible asset is categorised in three levels:

1. Acquired Separately

Cost of an intangible asset acquired separately is determined in a manner largely similar to that for tangible fixed assets.

Cost Components

1. Purchase price
2. Any directly attributable costs

2. Acquired as part of Business Combination

Its cost is fair value as at the date of acquisition.

3. Developed based on Research

When an internally generated intangible asset meets the recognition criteria, the cost is determined using the same principles as for an acquired tangible asset.

Expenditures relating to the creation of intangible assets are to be classified into two:

1. Research phase
2. Development phase

Research phase

Costs incurred in the research phase are expensed immediately;

Development phase

Costs incurred in the development phase are capitalised, provided they meet the recognition criteria for an intangible asset.

The terms 'research phase' and 'development phase' have a broader meaning for the purpose recognising intangible assets.

Development is the application of research findings or other knowledge to a plan or design for the

production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.

Criteria to Capitalise Development Cost

Where an entity can demonstrate all of the following:

- a) Technical feasibility of completing the intangible asset;
- b) Intention to complete the intangible asset and use or sell it;
- c) Ability to use or sell the intangible asset;
- d) How the intangible asset will generate probable future economic benefits (existence of a market for intangible asset or its product or, its internal usefulness;
- e) Availability of adequate technical, financial and other resources; and
- f) Ability to reliably measure the attributable expenditure during its development.

Amortization of Development Cost begins when the amortization pattern starts reflecting economic benefit derived from the project/product developed.

Amortization of Intangible Assets with Finite Useful Life These must be amortised over that useful life, which should not exceed the period of legal rights, unless the legal rights are renewable, and the renewal is a virtual certainty.

Amortization of Intangible Assets with Indefinite Life

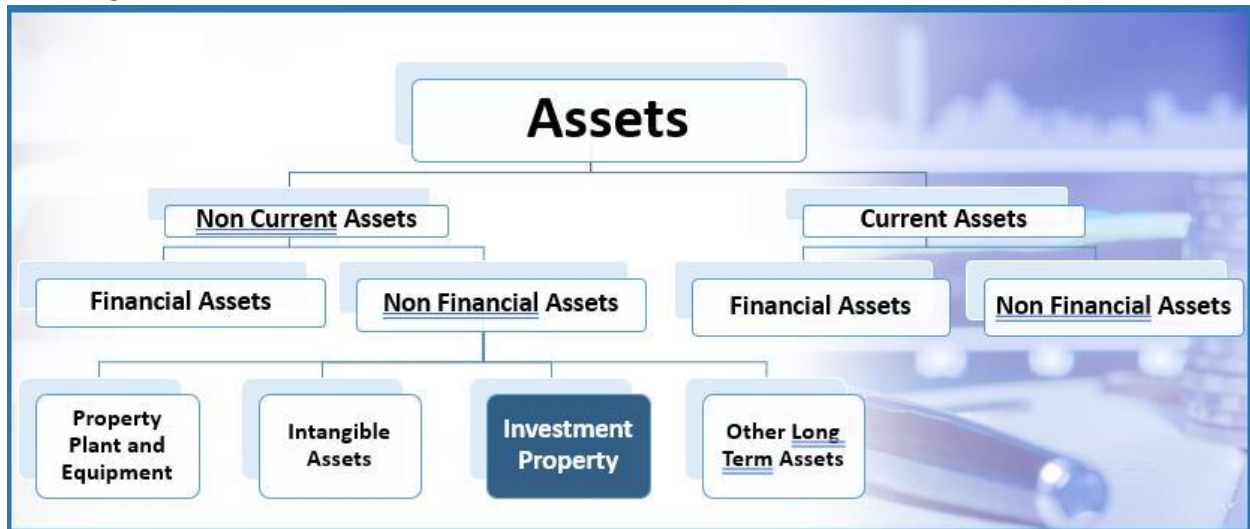
These are not amortised rather impairment test is conducted on each reporting period.

Amortization Method

- Method should reflect the pattern of economic benefits.
- Method should reflect the expected pattern of the consumption of expected future economic benefits.
- IAS 38 permits straight-line, diminishing balance, and units of production methods.

Intangible Assets Indefinite Useful Life

An intangible asset with an indefinite useful life shall not be amortised.



Investment Property

An investment in land and/or building that is held with the intention of earning rental income or for capital appreciation (or both) is described as an investment property.

Owner Occupied Property

Held by the entity that is used for:

- production of goods or services
- supply of goods or services
- administrative purposes

Investment Property

Property (land or a building, or part of a building, or both) held (by the owner or by the lessee as a right-of-use asset):

1. to earn rental income; or
2. for capital appreciation purposes; or
3. both

Dual Use Property

Certain properties are not held entirely for rental purposes or for capital appreciation purposes.

Portions of these properties might be used by the entity for manufacturing or for administrative purposes.

Purposes

These portions may be earmarked for different purposes that could be:

- sold, or
- leased under a finance lease, separately

Deemed Investment Property

If the portions cannot be sold, or leased (as a finance lease), separately, then the property would be deemed as an investment property only if an insignificant portion is held by the entity for business use.

Insignificant Services

When ancillary services are provided by the entity and these are a relatively insignificant component of the arrangement.

Significant Services

When the service provided is a comparatively significant component of the arrangement, then the investment would be considered as an owner-occupied property.

Investment Property

Recognition

Investment property is recognised as an asset when, and only when, it becomes probable that the entity will enjoy the future economic benefits which are attributable to it, and when the costs of the investment property can be reliably measured.

Measurement

- Initial measurement at cost
- Subsequent measurement

1. cost model

It is exactly the same as IAS 16 i.e., cost less accumulated depreciation less accumulated impairment losses

2. fair value model

When investment property is carried at fair value, at each subsequent financial reporting date the carrying amount must be adjusted to the then-current fair value, with the adjustment being reported in the profit or loss for the period in which it arises.

Transfer to or from Investment Property

- From investment property to owner-occupied property;
- From an owner-occupied property to investment property;
- From investment property to inventories; or

- From inventories to investment property.

Investment property is measured at fair value		
Circumstance	Transfer to or from	Deemed transfer value
Commencement of owner occupation	Transfer from investment property to owner-occupied property.	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
End of owner occupation	Transfer from owner-occupied property (PPE or ROU) to investment property.	Revalue in accordance with IAS-16 prior to the transfer.
Commencement of development with a view to sale	Transfer from investment property to inventories.	Fair value at the date of change of use becomes the deemed cost for future accounting purposes.
Commencement of operating lease to third party	Transfer from inventory to investment property.	Any difference between the fair value and the carrying amount of the inventory at the date of transfer would be reported in profit or loss.
End of construction	Transfer from assets in the course of construction to investment property.	Revalue the property at the date of change of use. Recognize any revaluation difference in the statement of comprehensive income immediately.
Determined that investment property is to be held for sale	Investment property classified as <u>non current</u> asset held for sale.	These continue to be measured at fair value up to the point of sale.

Accounting for Impairment of Assets

Basic Concept

An entity is required to ensure that its assets are not carried at amounts higher than their recoverable amount.

Carrying Amount

The amount at which an asset is presented in the statement of financial position / Balance Sheet.

Recoverable Amount

The amount, which can be recovered by selling the asset or by using the asset in the entity.

Impairment

An asset is termed as impaired if its recoverable amount is lesser than its carrying amount.

Impairment Stages

Stage 1 - Indication of impairment

Impairment test is compulsory for intangible assets with an indefinite useful life.

Internal indicators

- Asset is damaged
- Plans to discontinue or restructure
- Reduction in remaining useful life
- Expected performance is worse than expected

External indicators

- Decline in market value of asset
- Change in technology, law, or other economic factors that have adverse effect on entity.
- Increase in interest rate
- Decrease in market capitalization

Stage 2- Assessment of recoverable amount

Recoverable amount is the higher of:

- Fair value less cost to sell

Fair value of an asset at a particular date is normally its current market value or the price that is determined in a binding sales agreement

Costs to sell normally include Incremental costs that are attributable to the disposal of an asset e.g., legal costs and taxes etc.

- Value in use

Present value of the future cash flows by application of an appropriate discount rate.

Prudence Concept

Assets are not presented in the Statement of Financial Position at an amount that is greater than its recoverable amount.

Stage 3 – Accounting treatment of impairment

Write down the impaired asset with the amount of impairment loss to its recoverable amount

Impairment Loss

The impairment loss is normally recognized immediately in profit or loss as an expense.

Accounting Entry

Impairment loss Dr.

Accumulated Impairment Loss Cr.



Financial Assets

These give rise to equity instrument or financial liability of other entity based on a contractual arrangement.

Being non-current, these are long-term investments.

Recognition

Investment in financial asset is recognised as an asset when entity becomes party to the contractual provisions of the instrument.

Investment in Equity Instruments

Buying or subscribing equity shares of another entity

Shares in X Co. Dr.

Cash/Bank Cr.

Investment in Debt Instruments

Advancing loan to another entity

Loan to X Co. Dr.

Cash/Bank Cr.

Investment in Debt Instruments

Buying loan notes or bonds of another entity

Loan notes in X Co. Dr.

Cash/Bank Cr.

Initial Measurement

Investment in Equity or Debt, being non-current financial asset, is initially measured at fair value plus transaction cost

Transaction Price

Fair value of a financial instrument at initial investment is normally the transaction price

Transaction Cost

It is the incremental costs directly attributable to the acquisition of a financial asset. For example; broker's fee, commissions, levies, transfer taxes and stamp duties.

Fair Value $\neq$ Transaction Price

1. Recognize day 1 gain/loss in SOPL if the fair value is evidenced from active market or the data is taken only from the observable markets; otherwise
2. Defer the difference over the term (period) of the financial asset.

Interest income Vs. received

- Interest income is calculated on the amount due using effective interest rate
- Interest received is calculated on principal amount using the coupon interest rate

Classification

Financial asset shall be classified according to their subsequent measurement methods, that can be either:

3. FVTPL

Fair Value through Profit or Loss

It applies to all financial assets that do not meet the criteria to be measures at amortised cost and FVTOCI options.

As well as it applies to those financial assets that the entity elects to be measured under at FVTPL.

4. FVTOCI

Fair Value through Other Comprehensive Income

It applies to financial assets whose business model is a combination of holding to collect contractual cash flows as well as sell to manage profitability.

5. Amortised Cost

This category applies to financial assets whose business model is to hold to collect contractual cash flows and whose contractual cash flows are made solely of

principal and interest.

Business Model

To collect:

- Principal amount on maturity, and
- Interest on principal amount

Revenue

Revenue is income from 'ordinary activities'.

Contract

A contract has rights and obligations between two or more parties. That is agreed and enforceable in the law.

Customer

Customer is a person (real or artificial) who receives a good or service that are product or output of the entity's ordinary activities in exchange for consideration.

Accounting Treatment

Customer Dr.

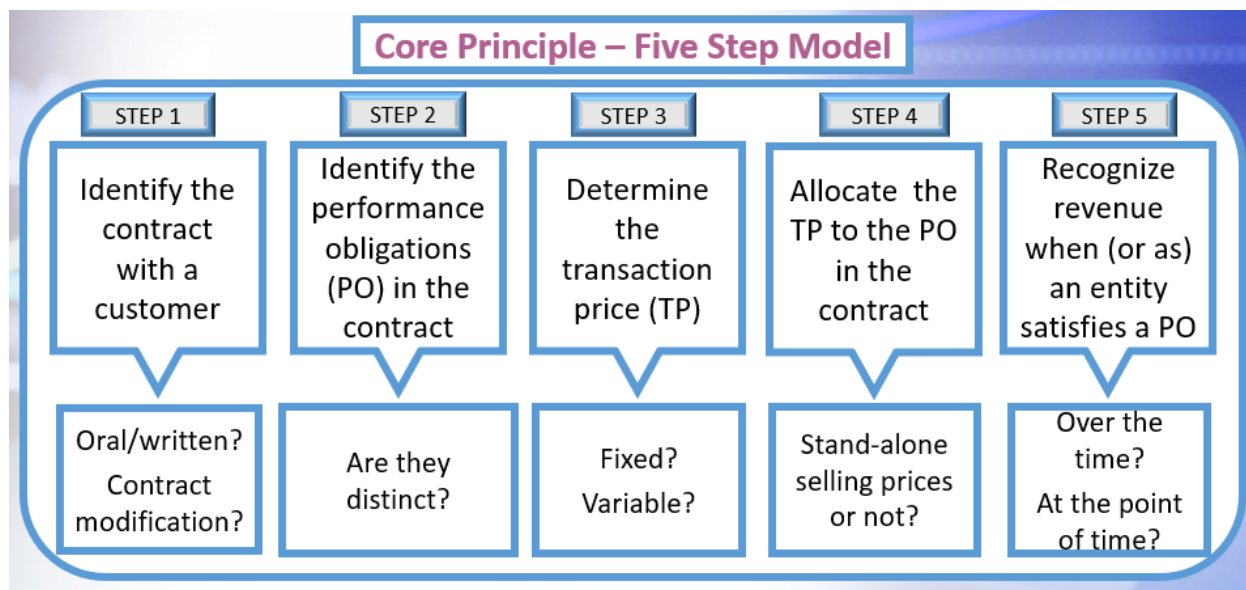
Revenue Cr.

Revenue model is based on core principles that require an entity to recognise revenue:

- For the promised product that is transferred to the customer
- At an amount of that is expected to be entitled in exchange of promised product

Core Principles

1. Identify contract with the customer
2. Identify the separate performance obligations in the contract
3. Determine transaction price
4. Allocate the transaction price to separate performance obligations
5. Recognise revenue when or as an entity satisfies performance obligations



- PO is the Promised product
- TP is the amount in exchange of PO

Steps

1. Identify contract
2. Identify the separate POs
3. Determine TP
4. Allocate the TP to POs
5. Recognise revenue

1. Contract

A contract is an agreement between two or more parties that creates enforceable rights and obligations.

Revenue model applies:

- when collection of consideration is probable and when or if the contract:
 - has commercial substance
 - identifies each party's rights
 - identifies payment terms
 - has been approved by the parties and establishes commitment to perform obligations
- If a contract with customer does not meet these criteria, revenue is recognised only when either:
 - The entity's performance is complete and substantially all of the consideration in the arrangement has been collected and is non-refundable
 - The contract has been terminated and the consideration received is non-refundable.

2. Performance Obligation

PO is a promise in a contract with a customer to transfer a good or service to the customer.

Distinct Good or Service

A good or service (or a bundle of goods or services) that is distinct. Like;

- Sale of a car
- Sale of course books
- Servicing a truck
- Providing tax advice

Series of Distinct Good or Service

A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

- Weekly service contract of fleet of cars for 3 months
- Telecom service contract for 12 months

3. Transaction Price

Transaction price is the amount of consideration an entity expects to be entitled to in exchange for the goods or services promised under a contract, excluding any amounts collected on behalf of third parties (for example, sales taxes).

While determining the TP an entity must consider:

- Variable consideration;
- Time value of money;
- Non-cash consideration;
- Consideration payable to the customer.

4. Allocation

The entity allocates a contract's transaction price to each separate performance obligation within that contract on a relative stand-alone selling price basis at inception of the contract.

5. Transfer of Control

Revenue Recognition Model is based on transfer of control.

("When" or "as")

Control is transferred in two ways:

1. "When" the entity satisfies PO at a point in time, and

2. "As" the entity keeps on satisfying PO over the time.

Entity must determine "when" or "as" at inception of the contract.

Financial Statement Analysis

Forms of information:

1. Absolute form

2. Relative form

Financial Statement Analysis

- Vertical Analysis
- Horizontal Analysis
- Ratio Analysis
- Cash Flow Analysis

Use of Analysis

- Interpretation
- Decision Making

A. Vertical Analysis

Up-down or Down-up

Vertical analysis restates balance sheet or income statement amounts as a percentage of total assets (balance sheet) or net sales (income statement).

Common Size Analysis

Wherein, each item in the financial statement is shown as percentage of base figure.

Comparing results for two or more successive periods help in analyzing financial statements.

B. Horizontal Analysis

Line by Line Item Analysis

It analyses information of one accounting period (comparison period) with the same information of other accounting period (base period).

- Chain analysis
- Index analysis

Trend Analysis

$$\frac{\text{Sales in the comparison year} - \text{Sales in the base year}}{\text{Sales in the base year}} = \% \text{ Increase or Decrease in Sales}$$

Spotting Trend

Normally two accounting periods are required for a valid comparison. In order to spot actual trends, it's better to include three or more accounting periods when calculating horizontal analysis.

Ratio Analysis

A process of ascertaining the financial ratios for indicating the ongoing financial performance of an entity.

Types of Ratio Analysis

- Profitability Ratios
- Liquidity Ratios
- Debt or Leverage Ratios
- Efficiency Ratios
- Market or Owners Ratios

Management Tool

Ratio analysis is a useful management tool that improves understanding of financial results and trends over time, and provides key indicators of organizational performance.

Use of Ratio Analysis

Managers use ratio analysis to pinpoint strengths and weaknesses from which strategies and initiatives can be formed.

Profitability Ratios

These ratios measure an entity's ability to generate profits relative to revenue, costs, assets and equity.

Ratios Include

- Profit on sales
- Cost of goods sold on sales
- Specific expense on sales
- Return on capital employed
- Return on owners' equity

- Return on Assets

Profit on Sales	
$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100 = \%$	$\frac{300}{500} \times 100 = 60\%$
Profit on Cost	
$\frac{\text{Gross Profit}}{\text{Cost of Sales}} \times 100 = \%$	$\frac{300}{200} \times 100 = 150\%$
Expense on Sales	
$\frac{\text{Operating expense}}{\text{Net Sales}} \times 100 = \%$	$\frac{120}{500} \times 100 = 24\%$

Return on Owners Equity	
$\frac{\text{Profit after Tax}}{\text{Owners Equity}} \times 100 = \%$	$\frac{120}{250} \times 100 = 40\%$
Return on Capital Employed	
$\frac{\text{PBIT}}{\text{Capital Employed}} \times 100 = \%$	$\frac{180}{320} \times 100 = 56\%$
Return on Assets	
$\frac{\text{Operating Profit}}{\text{Total Assets}} \times 100 = \%$	$\frac{180}{400} \times 100 = 45\%$

Other Profitability Ratios

- Markup rate
- Analysis of different profits on sales
- Percentage annual growth in sales
- Percentage annual change in operating expenses

Liquidity Ratios

These are the financial ratios that measure an entity's ability to repay both short term and long-term obligations.

Ratios Include

- Current Ratio
- Acid Test Ratio
- Cash Ratio

- Operating Cash Flow Ratio

Current Ratio	
$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	= times
$\frac{100}{80}$	= 1.25 times
Quick or Acid-test Ratio	
$\frac{\text{Quick Asset}}{\text{Current Liabilities}}$	= times
$\frac{85}{80}$	= 1.06 times
Cash Ratio	
$\frac{\text{Cash \& Cash equivalent}}{\text{Current Liabilities}}$	= times
$\frac{40}{80}$	= 0.5 time

Leverage Ratios

These are the financial ratios that measure the amount of capital that comes from debt. In other words, leverage financial ratios are used to evaluate an entity's debt levels.

Ratios Include

- Debt Ratio
- Debt to Equity
- Gearing Ratio
- Interest Coverage Ratio

Debt Ratio	
$\frac{\text{Total Liabilities}}{\text{Total Assets}} \times 100$	= times
$\frac{150}{400} \times 100$	= 37.5%
Debt to Equity Ratio	
$\frac{\text{Non Current Debts}}{\text{Owners' Equity}} \times 100$	= times
$\frac{70}{250} \times 100$	= 28%
Gearing Ratio	
$\frac{\text{Non Current Debt}}{\text{Capital Employed}} \times 100$	= times
$\frac{70}{320} \times 100$	= 22%

Interest Coverage Ratio	
$\frac{\text{PBIT}}{\text{Interest Expense}}$	= times
$\frac{180}{10}$	= 18 times

High Geared Vs. Low Geared

- An entity is high-g geared when its gearing ratio is above 50%
- An entity is low-g geared when its gearing ratio is below 50%

Efficiency Ratios

These are also known as activity financial ratios. Efficiency Ratios are used to measure how well an entity is utilizing its assets and other resources.

Ratios Include

- Asset Turnover Ratio
- Inventory Turnover Ratio
- Receivable Turnover Ratio
- Inventory Holding Period
- Receivable Collection Period

Assets Turnover Ratio	
$\frac{\text{Net Sales}}{\text{Average Total Assets}} = \text{times}$	
$\frac{500}{400} = 1.25 \text{ times}$	
Inventory Turnover Ratio	
$\frac{\text{Cost of Goods Sold}}{\text{Average Inventory}} = \text{times}$	
$\frac{200}{15} = 13.33 \text{ times}$	
Receivable Turnover Ratio	
$\frac{\text{Net Credit Sales}}{\text{Average Accounts Receivable}} = \text{times}$	
$\frac{500}{45} = 11.11 \text{ times}$	

Inventory Holding Period	
$\frac{\text{Average Invenroty}}{\text{Cost of goods sold per day}} = \text{days}$	
$\frac{15}{200 \div 365} = 27 \text{ days}$	
Receivable Collection Period	
$\frac{\text{Average Accounts Receivable}}{\text{Credit sales per day}} = \text{days}$	
$\frac{45}{500 \div 365} = 33 \text{ days}$	
Accounts Payable Turnover Ratio	
$\frac{\text{Net Credit Purchases}}{\text{Average Accounts Payable}} = \text{times}$	
Payable payment Period	
$\frac{\text{Average Accounts Payable}}{\text{Credit purchases per day}} = \text{days}$	

Alternative Replacements

- Total sales instead of credit sales
- Total purchases instead of credit purchases
- Ending Accounts Receivable instead of average amount
- Ending Accounts Payable instead of average amount
- Ending Inventory instead of average amount

Market/Owners' Ratios

These are also known as Owners or Shareholders Ratios.

Market ratios are used to evaluate the share price of an entity's stock.

Ratios Include

- Book Value Per Share
- Dividend Yield Ratio
- Earnings Per Share
- Price Earnings Ratio



Book value per share
$\frac{\text{Owners Equity}}{\text{Equity share outstanding}} = \text{per share}$
$\frac{250,000}{10,000} = 25$
Dividend Yield Ratio
$\frac{\text{Dividend Per Share}}{\text{Market price per share}} \times 100 = \%$
$\frac{40,000 \div 10,000}{40} = 10\%$
Earnings Per Share Ratio
$\frac{\text{Profit after tax}}{\text{Equity shares outstanding}} = \text{times}$
$\frac{110,000}{10,000} = 11 \text{ per share}$
Price Earning Ratio
$\frac{\text{Market Price Per Share}}{\text{Earnings Per Share}} = \text{times}$
$\frac{40}{11} = 3.64 \text{ times}$

Potential and Current Investors

Current and potential investors are interested to know the results of market ratios that are also known as investors' ratios or shareholders' ratios.

Cash Flow Ratios

Cash flow ratios compare cash flows to other elements of an entity's financial statements. These ratios are especially important when evaluating entities whose cash flows diverge substantially from their reported profits.

Ratios Include

- Cash flow coverage ratio
- Current liability coverage ratio
- Cash flow margin ratio
- Price to cash flow ratio

- Cash flow to net income

Cash flow coverage ratio	
$\frac{\text{Operating Cash Flow}}{\text{Total Debts}}$	= times
$\frac{210}{150} \times 100 = 1.4 \text{ times}$	
Current liability coverage ratio	
$\frac{\text{Operating Cash Flow}}{\text{Current Liabilities}}$	= times
$\frac{210}{80} \times 100 = 2.63 \text{ times}$	
Cash flow margin ratio	
$\frac{\text{Operating Cash Flow}}{\text{Sales}} \times 100 = \%$	
$\frac{210}{500} \times 100 = 42\%$	

Price to cash flow ratio	
$\frac{\text{Market Price Per Share}}{\text{Operating Cash Flow Per Share}}$	
$\frac{40}{(210.000 \div 10,000)} = 21$	= 1.9 times
Cash flow to net income ratio	
$\frac{\text{Operating Cash Flow}}{\text{Operating Profit}}$	= times
$\frac{210}{180} \times 100 = 1.17 \text{ times}$	

Limitations in Financial Statement Analysis

Financial Statement analysis is used to compare relative information and to gain an analytical understanding of financial position, financial performance and cash flows of an entity.

Limitations

This analysis is a useful tool, however, there are a number of limitations.

1. Historical

Information used in the analysis is derived from actual historical results. This does not mean that the same results will be carried forward in the future.

Historical Vs. Current Cost

Information on the income statement is stated in current costs (or close to it), whereas many elements of the balance sheet are stated at historical cost. This disparity may result in unusual ratio results.

2. Inflationary effect

If the rate of inflation has changed in any of the periods under review, this can mean that the numbers are not comparable across periods.

3. Accounting policies and estimates

Different entities in a similar industry may have different policies for recording the same accounting transaction.

4. Interpretation

It can be quite difficult to ascertain the reason for the results of a ratio.

Accounting Cycle

- Accounting Phenomena
 - Transactions
 - Events
 - Conditions
- Source Documents
- Voucher
- Journals /Day books
- Ledgers
- Trial Balance
- Financial Statements
- Analysis

Accounting System

- Single Entry Accounting
- Double Entry Accounting

Scale of Business Entities

- Small scale entities
 - Single entry
- Medium scale entities
 - Single / Double entry
- Large scale entities
 - Double entry

Cash Vs. Accrual Basis

- Cash based accounting
 - Single entry
- Accrual based accounting
 - Double entry

Single Entry

Accounting for incomplete records is in fact "Single Entry Accounting".

Small Entities

- Single owner
- Little setup
- Limited resources
- Less transactions
- No bank account
- Few credit transactions

- One person many rolls

Accounting Needs

- Financial Performance
- Financial Position
- Taxation matters

Accounting System

- Assets and Liabilities at the start and end of the year
- Cash and non-cash capital introduced during the year
- Cash and non-cash drawings during the year

Accounting Equations

Opening Owners' Equity

Op. Assets – Op. Liabilities

Closing Owners' Equity

Cl. Assets – Cl. Liabilities

Profit for the year

Closing Owners' Equity + Drawings – Opening Owners' Equity – New/Fresh Capital.

Statement of Profit or Loss

- It does not contain Incomes and Expenses
- The result is exactly the same had it been prepared on double entry basis

Owner's Equity On the Reporting Date		Statement of Profit or Los For the Reporting Period	
Opening Owner's Equity	**	Closing Owner's Equity	**
Fresh Capital	+ **	Opening Owner's Equity -	**
Profit for the year	+ **	Fresh Capital	- **
Drawings	- **	Drawings	+ **
Closing Owner's Equity	***	Profit for the year	***

Statement of Affairs

It is a statement containing balances of assets and liabilities of an entity on a specific date.

Assets	Amount (Rs)	Liabilities	Amount (Rs)
Furniture & Fixture	xxx	Loans taken	xxx
Equipments	xxx	Trade payables	xxx
Inventories	xxx	Payable expenses	xxx
Trade Receivables	xxx	Owner's equity	
Prepaid expenses	xxx	(Balancing figure)	xxx
Bank balance	xxx		
Cash in hand	xxx		
	xxx		xxx

Net Assets

The balance of Owner's Equity can also be termed as Net Assets as it is the balance of assets after subtracting all liabilities.

SOA Vs. SOFP

the Statement of Accounts (SOA) and the Statement of Financial Position (SOFP).

SOFP is balance sheet of the entity that shows financial position on a specific date by presenting "Resources" against the "Claims/Sources". There is no balancing figure in SOFP.

Whereas, in SOA all liabilities are subtracted from all the assets on a specific date to know the Net Assets.

Steps to follow

1. Ascertain opening and closing balances of Net Assets / Owners' Equity
2. Ascertain Profit for the year
3. Prepares partners' current account
4. Prepare Balance Sheet

Conversion of Single Entry into Double Entry

Medium Size Entities

- Sizeable business
- Sole or partnership
- Availability of resources
- Cash and Credit transactions
- Maintain bank account
- Different rolls are assigned to certain personnel

Accounting Needs

- Financial Performance
- Financial Position
- Statement of Cash Flows
- Taxation requirements

Accounting System

- a) Cash and Bank Book
- b) Trade Receivables Ledger
- c) Trade Payables Ledger
- d) Statement of Affairs (Op.)
- e) Year-end adjustments:

- Inventory count
- Depreciation policy
- Provision for doubtful debts
- Accruals & prepayments

Balance Sheet

Closing balance of all assets and liabilities can be worked out from:

1. Opening SOA
2. Cash book (Cash & Bank)
3. Trade Receivables
4. Trade Payables
5. Year-end Adjustments

Source Record for Mapping

- a) Cash and Bank Book
- b) Trade Receivables Ledger
- c) Trade Payables Ledger
- d) Statement of Affairs (Op.)
- e) Year-end adjustments:

- Inventory count
- Depreciation policy
- Provision for doubtful debts
- Accruals & prepayments.

It may include certain other adjustments to reflect changes in amounts from previous year

Outcome of Conversion

End result of double entry accounting system is to extract a trial balance and preparation of financial statements.

Whereas, when conversion is worked out from single entry to double entry then trial balance is not extracted else the end result is same.

Conversion into Double entry

Missing Information

In some questions all the sufficient information is not provided that is needful to convert single entry into double entry.

Conversion into Double entry – Markup and Margin

Markup

It is the % age of gross profit over cost of goods sold.

Gross profit/Cost of goods sold x 100 = %

Margin

It is the % age of gross profit over Sales.

Gross profit/Sales x 100 = %

Use of Markup and Margin

In some questions the missing information is traced by applying markup or margin ratios.

For example:

- Sales
- Cost of sales
- Gross profit

Accounting for Non-Profit Organizations

Not for Profit Organizations

Organizations that do not aim to earn profits rather to extend welfare services.

For example; Hospital, Clinic, Library, Masjid, Church, Sports Club, Social Work etc.

Accounting Phenomena

Regardless of the motive, NPOs enter into certain transactions for running its operations.

For example; staff salaries, utility bills, building rent etc.

Source of Income

NPOs generate income from charities, donations, subscriptions, membership fee, registration fee, admission fee etc.

Commercial Activities

Few NPOs create a small business activity to generate funds for day-to-day operations.

For example; stationery shop in a Masjid, Juice shop in a Club, dispensary in a clinic etc.

Accounting System

Depending upon the size of organization, single entry or double entry accounting system is adopted to meet accounting and reporting needful.

Accounting System

- Small NPOs: Normally NPOs are small in size and are not involved in complex transactions like trading and manufacturing activities. Number of transactions are also very few in a month
 - Single Entry
- Medium NPOs: NPOs that grow in size and expand their operations enter into numerous transactions, have assets in their control and might have some obligations.
 - Single Entry / Double Entry
- Large NPOs
 - Double Entry

Memorandum Record

NPOs having a large number of members maintain a memorandum record of members.

Accounting System

Conversion of single entry into double entry

- Cash book
- Receipt and payment account: On reporting date, a summary is prepared for all the receipts and payments made under different heads, such summary is known as "Receipt and Payment Account".
- Year-end adjustments

Financial Statements

- Income and Expenditure Account

- Balance Sheet

Financial Statements

- Income and Expenditure Account (replacement of SOPL)
- Balance Sheet (same SOFP)

Accrual Basis

Income and Expenditure account is prepared on accrual basis. All incomes and expenses are passed through the filter of accruals, means adjusted for opening and

closing balances of owing and prepayments.

Incomes of NPO

Incomes of a non-profit organization mainly include:

- Subscription
- Donation
- Entrance fee
- Lockers rent
- Membership fee etc.

Expenses of NPO

Payments for revenue expenditures appearing in the Cash Book (Receipt and Payment Account) are adjusted with the opening and closing balances of owing and prepaid to get the amount of expense.

Depreciation of fixed asset is worked out to account for in the Income and Expenditure account.

Expenses of NPO	Rs.
Expenses paid DTY	***
Op advance	+ ***
Cl advance	- ***
Op owing	- ***
Cl owing	+ ***
Expenses FTY	***

Incomes of NPO	Rs.
Income received DTY	***
Op advance	+ ***
Cl advance	- ***
Op owing	- ***
Cl owing	+ ***
Income FTY	***